DEEP DIVES

Deep Dive #8 | Decentralized Prediction Markets

Understand how prediction markets can serve as marketplaces for truth discovery

AMP BURAPACHAISRI
FEB 23, 2024

1 Share

As trust in government, media, and financial institutions dwindle, people are seeking alternative venues for truth.

Today, we look at how decentralized prediction markets can serve as platforms for truth discovery, and dive deep into the following topics:

- What exactly are prediction markets?
- Why there is more to prediction markets than just gambling
- Intro to Polymarket, the leading prediction market in crypto

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

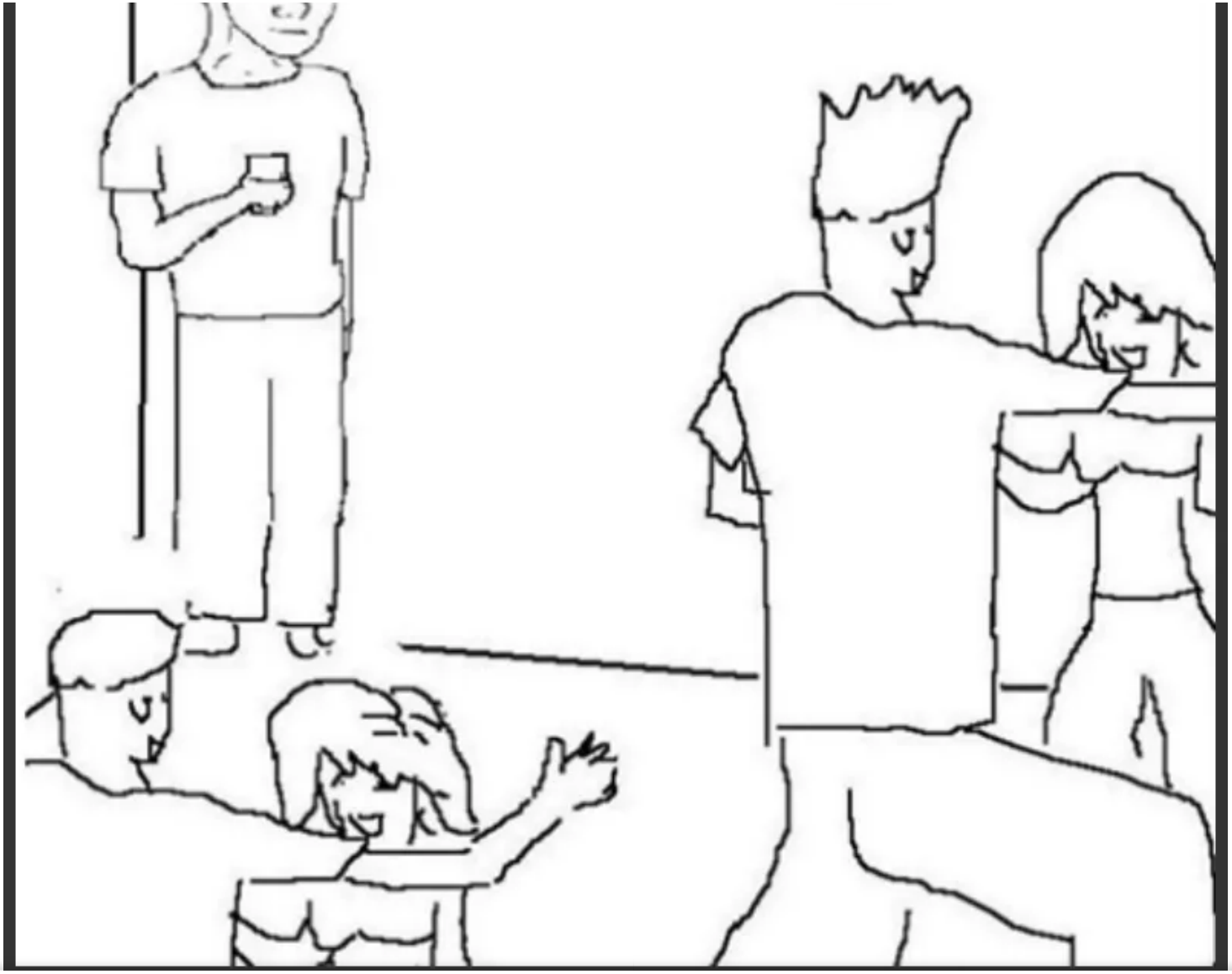
tldr; 3 big ideas for prediction markets

1. **Prediction markets democratize forecasting**
   Forecasting has traditionally been a field exclusive to domain experts, from politicians to economists. There was no room for knowledgeable amateurs to participate. Now, they can freely enter the field, and even profit from it, by investing based on their knowledge and insights.
2. **"Skin in the Game" is a mechanism for accuracy**
   Financial incentives align participants' interests with the accuracy of their predictions.
   The involvement of a personal stake not only motivates more thoughtful participation but also serves as a self-regulating mechanism for the market, filtering out less informed speculation.
3. **Prediction Markets = A marketplace for truths**
   Prediction markets can serve as a real-time barometer for the likelihood of future events, effectively becoming marketplaces for truths.

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept



Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

Prediction markets are platforms where the collective wisdom of participants is harnessed to forecast the outcomes of future events.

These events can span a broad spectrum, from political elections and economic indicators to outcomes in the entertainment industry (e.g Will Travis Kelce propose to Taylor Swift at the Super Bowl?)

At their core, prediction markets allow participants to bet on whether specific events will happen. If your prediction is correct, you are financially rewarded.

The Mechanics Behind the Magic

Prediction markets are simple.

1. Participants buy shares for a particular outcome (typically “Yes” or “No)
2. Only the shares for the outcome that actually occurs can be redeemed for money.
3. The trading activity of participants determines the price of these shares, which may be interpreted as the probability of each outcome occurring. This mechanism aggregates a wide range of opinion and information, offering real-time probabilities and insights into future events.

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

Gambling

Traditionally, prediction markets have been used to forecast outcomes in politics, economics, and entertainment. However, their scope and accuracy extend beyond these fields.

According to economist Robin Hanson, speculative markets are either substantially more accurate or as accurate as other methods for prediction. They are never much worse, even when compared to public opinions, public experts, or private experts.

This positions prediction markets as a critical tool for harnessing collective intelligence.

Unlike traditional consensus or polls, prediction markets provide:

- **Numerically Precise Estimates**: Instead of the vague terms like "likely" or "maybe" used in traditional forecasts, prediction markets express outcomes in numerical and concrete probabilities.
- **Consistency Across Issues**: When markets are available for multiple questions, their estimates tend to be consistent, painting a coherent picture of the future.

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

decentralized nature of prediction markets makes them tougher to manipulate than other forms of consensus.

> *Markets are a source of truth that become more accurate with more liquidity.- Quote by Peter Jennings, creator of Lucky Trader and Unabated Sports*

Polymarket, Crypto's Leading Prediction Market

Founded in 2017 by Shayne Coplan, Polymarket has become a leading decentralized prediction market. It emphasizes user autonomy by operating on a non-custodial basis, ensuring that users maintain control of their funds at all times. The platform requires participation in USDC, an approach that promotes secure and transparent transactions. This aligns with Polymarket's commitment to providing an accessible and innovative environment for market predictions.

Let's take a look at this example on Polymarket: **Ethereum ETF approved by May 31?** Here is how to make sense of this:

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

the price is 48 cents per share. For "No," the event *will not* happen, the price is 53 cents per share.

- This price reflects the probability as assessed by market participants. A 48 cents price for "Yes" suggests the market believes there's a 48% chance of the event happening. Similarly, a 53 cents price for "No" suggests a 53% chance of the event not happening.

Investment, Shares, and Returns

Let's say you would like to invest $100 into this market.

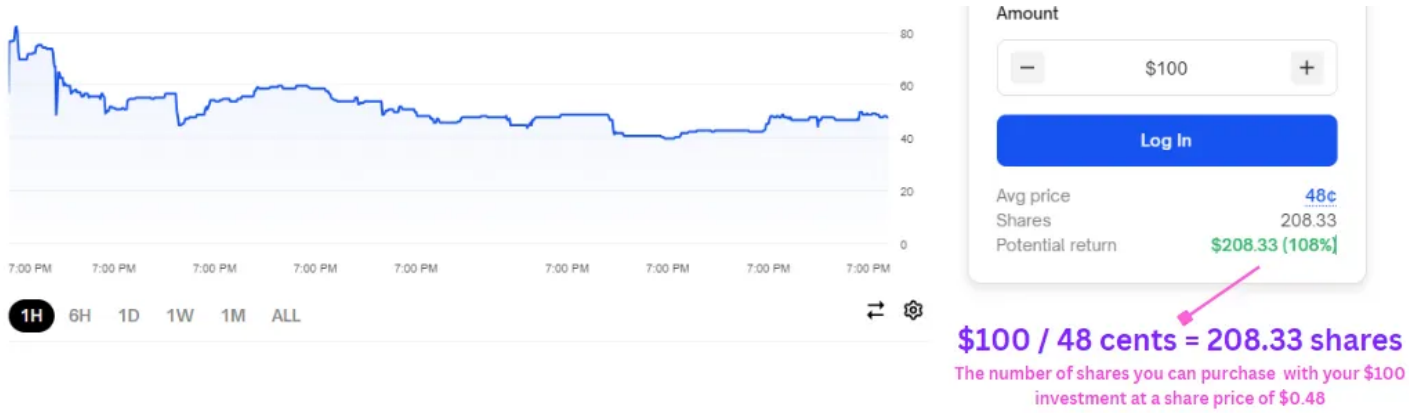
- **For Yes**: When you invest $100 in "Yes" at 48 cents per share, you're buying shares that will pay out $1 each if the event happens: 208.33 shares.
- **Returns**: If the Ethereum ETF is approved (the event happens), each of your 208.33 shares would pay out $1, totaling $208.33. This represents a 108% return on your initial investment of $100.

the price per share for voting "yes" is 48 cents

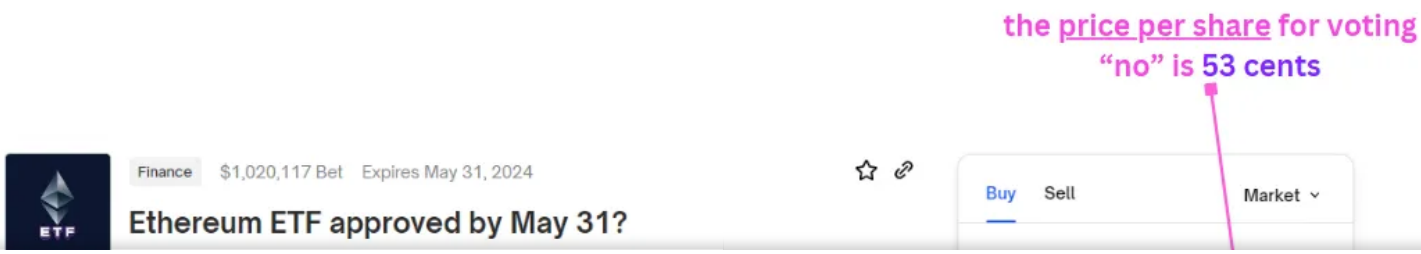
Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept



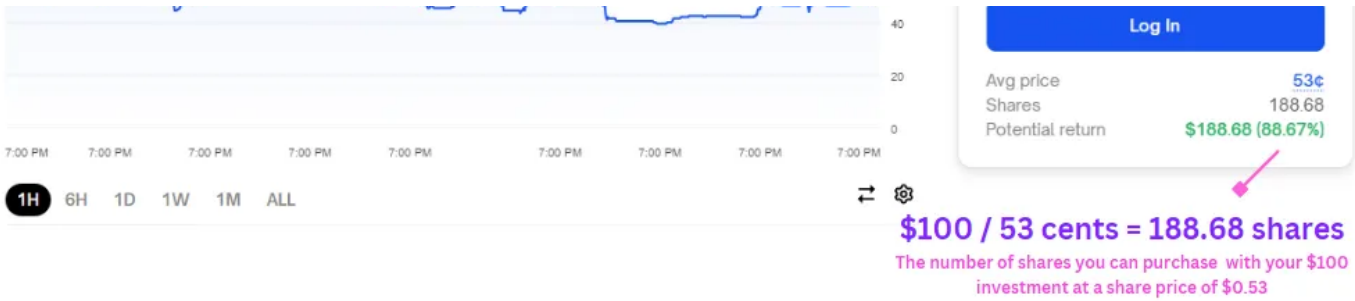
- **For No**: Similarly, investing $100 in "No" at 53 cents per share gives you 188.68 shares, with each share paying out $1 if the event does not happen.
- **Returns**: In the event the ETF is not approved, each of your 188.68 shares would pay out $1, totaling $188.68, representing a 88.67% return on your initial $100 investment.



Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept



SWOT Analysis for Polymarket

strengths

- **Decentralized** Markets operate in a more democratic fashion, potentially reducing biases and internal manipulation
- **Accessibility** Anyone with an Internet connection and crypto can participate (from a non-sanctioned country)
- **Low Transaction Costs**

weaknesses

- **Regulatory Uncertainty** Still unclear in many jurisdictions, which could lead to regulatory challenges and limited operations.
- **Market Liquidity** Smaller markets may suffer lower liquidity, potentially leading to a less accurate reflection or likelihood of an outcome

opportunities

- **Mainstream Adoption** As crypto gains wider acceptance, more users are likely to participate in crypto-based prediction markets
- **Advancements in scalability and interoperability** resulting in a better user-

threats

- **Regulatory Uncertainty** Regulatory scrutiny may result in restrictions, fines, or shutdowns in certain regions, notably the USA
- **Competition from CEXes** CEXes can

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

Strengths

- **Decentralized**: without a central authority, markets operate in a more democratic fashion, potentially reducing biases and internal manipulation
- **Accessibility**: anyone with an Internet connection and crypto can participate (from a non-sanctioned country)
- **Low Transaction Costs** (USDC on Polygon)

Weaknesses

- **Regulatory Uncertainty**: The legal status of decentralized prediction markets is still unclear in many jurisdictions, which could lead to regulatory challenges and limited operations.
- **Market Liquidity**: Smaller markets or those on niche topics may suffer from low liquidity, which may reduce market efficiency, potentially leading to a less accurate reflection or likelihood of an outcome

Opportunities

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

- **Advancements in scalability and interoperability**: Innovations in blockchain scalability and interoperability could enhance the efficiency and UX (e.g participating cross-chain, not just on Polygon)
- **Market Expansion**: As the platform grows, there is room to create more markets for a wider range of events and outcomes, tapping into unmet demands (e.g influencer or celebrity markets, niche sports, etc)

Threats

- **Regulations**: Increased scrutiny from regulators could lead to restrictions, fines, or the shutdown of platforms operating in certain regions (ahem, USA)
- **Competition from CEXes**: In 2022, we saw FTX offer a (very limited) version of their own prediction markets. Existing CEXes can capitalize on their large user base and distribution channels and offer the same services.

Closing Thoughts

I firmly believe that decentralized prediction markets will become one of the leading crypto consumer applications in the upcoming cycle.

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

appealing.

Decentralized prediction markets allow this at scale. With the potential for mainstream adoption, an expansion for wider prediction markets and offerings, platforms like Polymarket can become a central hub for truth-seeking individuals around the world.

If you enjoyed this piece, don't forget to follow for more updates!
🔗Website | 👁️X | 🟪Farcaster

Subscribe to Amp's Newsletter - Crypto & Web3

By Amp Burapachaisri · Launched 3 years ago

reflections on web3 & crypto, tech, and culture

michael.leewy@gmail.com Subscribe

By subscribing, I agree to Substack's Terms of Use, and

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept

Comments Restacks

Write a comment...

Cookie Policy

We use cookies to improve your experience, for analytics, and for marketing. You can accept, reject, or manage your preferences. See our privacy policy.

Manage Reject Accept